

to a high bid of 28. These latter quotations at least were based on enthusiasm and hope—out of all proportion to reality and common sense, but at least comprehensible. The year-end valuation of \$25 million was given to a company that had lost all but a minuscule remnant of its capital, for which a completely insolvent condition was imminent, and for which the words “enthusiasm” or “hope” would be only bitter sarcasms. (It is true the year-end figures had not been published by December 31, but it is the business of Wall Street houses associated with a company to have monthly operating statements and a fairly exact idea of how things are going.)

Final Chapter

For the first half of 1970 the company reported a further loss of \$1 million. It now had a good-sized capital deficit. It was kept out of bankruptcy by loans made by Mr. Williams, up to a total of \$2,500,000. No further statements seem to have been issued, until in January 1971 AAA Enterprises finally filed a petition in bankruptcy. The quotation for the stock at month-end was still 50 cents a share bid, or \$1,500,000 for the entire issue, which evidently had no more than wallpaper value. End of our story.

MORAL AND QUESTIONS: The speculative public is incorrigible. In financial terms it cannot count beyond 3. It will buy anything, at any price, if there seems to be some “action” in progress. It will fall for any company identified with “franchising,” computers, electronics, science, technology, or what have you, when the particular fashion is raging. Our readers, sensible investors all, are of course above such foolishness. But questions remain: Should not responsible investment houses be honor-bound to refrain from identifying themselves with such enterprises, nine out of ten of which may be foredoomed to ultimate failure? (This was actually the situation when the author entered Wall Street in 1914. By comparison it would seem that the ethical standards of the “Street” have fallen rather than advanced in the ensuing 57 years, despite all the reforms and all the controls.) Could and should the SEC be given other powers to protect the public, beyond the present ones which are limited to requiring the printing of all important relevant facts in the offering prospectus? Should some kind of box score for public offerings of various types be compiled and published in conspicuous fashion? Should every prospectus, and perhaps every confirmation of sale under an original offering, carry some kind of